



Insurance Council of Zimbabwe

THE SMART INSURER DIGEST

HALF YEAR 2026 EDITION

HARARE WELCOMES AIRDC 24TH ANNUAL CONFERENCE



Building resilient insurance
markets amid geopolitical
and technological disruptions

www.icz.co.zw





We Are Already On The Way.

FREE NATIONWIDE RESPONSE

24/7 / 365 DAYS

WE ATTEND TO ALL ROAD ACCIDENTS For Free

Around Zimbabwe Roads — Every Minute Counts, Every Life Matters. No fees. No delays. Just immediate care.

TOLL-FREE HOTLINE
0808 0630

NETONE
630

⚡ ZERO AIRTIME NEEDED

National highway emergency network. First on scene, free of charge, no questions asked. Advanced life support en route.

COMPREHENSIVE COVER MEDICAL SUPPORT BEYOND THE HIGHWAY

“Professionalism, Compassion, *Speed.*”

THE HEMS STANDARD — EVERY CALL, EVERY TIME

Highly trained paramedics, nurses and emergency drivers — uniformed, disciplined, and ready. This is not just a job. It's a commitment to Zimbabwe.

© HEMS ZIMBABWE — SAVING LIVES ON EVERY KILOMETER

WHEN SECONDS COUNT, WE'RE THERE



WE COVER EVERY EMERGENCY



SCHOOLS

Safe Learning Spaces



HOSPITALS

Rapid Medical Care



CORPORATE

Workplace Safety Ready



MEDISPORT

Sports Event Coverage



EVENTS & FESTIVALS

Large Public Safety



BUILDING A BETTER FUTURE

We also help in **fighting drug and substance abuse** to have a better future in Zimbabwe through community engagements and youth outreach.

Public Road Awareness Updates Through Our Social Media Platforms

• Daily safety tips • Live incident updates • Community stories



COMMUNITY

School talks & outreach



AWARENESS

Road safety updates



PREVENTION

Anti-drug advocacy

Setting the Gold Standard for Emergency Medical Response in Zimbabwe.



SPEED

Rapid Response

SKILL

Expert Paramedics

CARE

Compassion First

When disaster strikes on Zimbabwe's highways, one name responds without hesitation.

Highway Emergency Medical Services (HEMS) is on the frontline, providing free emergency response to all road accidents across the nation. But our mission goes far beyond the highway.



FACEBOOK

Highway Emergency Medical Services



EMAIL

info@hemszim.com



ADDRESS

179 Fife Avenue, Harare

Your Trusted Partner in Wealth Creation & Investment Growth



Licensed Investment Manager regulated by the Securities and Exchange Commission of Zimbabwe (SECZ3433A).

With over **30 years** of combined experience in Banking, Asset Management, Corporate Finance, and Advisory, we provide tailored investment solutions designed to grow and preserve your wealth.



OUR SERVICES

- ✓ Private Portfolio Management
- ✓ Institutional Investment Management
- ✓ Managed Money Market Portfolios
- ✓ Listed Equities
- ✓ Alternative Investments



WHY CHOOSE US?

- ★ Professional and experienced investment team
- ★ Secure and diversified investment opportunities
- ★ Tailor-made wealth management solutions
- ★ Focus on capital preservation and long-term growth
- ★ Integrity, Excellence, Innovation, Reliability & Loyalty



BUILD WEALTH.



PRESERVE CAPITAL.



SECURE YOUR FUTURE.

CONTACT US



11 Orkney Road Eastlea, Harare



0242 776115



www.sublimeassetmanagement.co.zw



Licensed Investment Manager regulatory by the Securities and Exchange Commission of Zimbabwe (SECZ3433A).

UNLOCK YOUR FINANCIAL POTENTIAL TODAY.



Contents

Chairman's Statement	04
From the CEO's Desk	06
Economic Summary	08
Short-Term Insurance Sector Performance	11
Buhera Farmers Embrace Crop Insurance as Payouts Build Confidence	16
The year in pictures	18
Green Investment Opportunities for Zimbabwean Insurers: A case for renewable energy, climate-smart agriculture, resilient infrastructure and other sustainability-linked assets	25
Beyond Insurance: ICZ Expands Emergency Response under its ESG Social Pillar	28
When Insurance Works—and When Compassion Must Step In	32
From Ideas to Impact: ICZ Innovation Hub Complements IPEC's Regulatory Sandbox	36
From disclosure to resilience: advancing credible sustainability reporting in Zimbabwe's insurance sector	42
Building Resilient Insurance Markets: AIRDC's Mission and the Road to Harare 2026	46
Beyond Compliance: Integrating ESG into Zimbabwe's Insurance Underwriting	49

FROM THE EDITOR'S DESK

Kundai Jonga | Editor

Welcome to the Half-Year 2026 Edition of The Smart Insurer Digest.

This edition reflects an insurance industry increasingly focused on resilience, inclusion and practical impact. From the expansion of agricultural insurance and emergency-response initiatives to innovation, sustainability and the evolving regulatory landscape, the stories in these pages demonstrate how insurance continues to respond to Zimbabwe's changing risk environment.

We are also pleased to spotlight Harare's hosting of the 24th AIRDC Annual Conference, bringing together insurance and reinsurance leaders from developing markets across Africa and beyond. Our conversation with AIRDC Secretary General Januario C. Aliwalas provides insight into the value of collaboration,

capacity building and innovation at a time of growing geopolitical and technological disruption.

I hope this edition encourages both reflection and conversation about how we can continue building a more relevant, inclusive and resilient insurance industry.



Editor, The Smart Insurer Digest

“ We are also pleased to spotlight Harare's hosting of the 24th AIRDC Annual Conference, bringing together insurance and reinsurance leaders from developing markets across Africa and beyond.



CHAIRMAN'S STATEMENT

Building a Resilient, Relevant and Inclusive Insurance Industry

It is my pleasure to welcome you to this Half-Year Edition of The Smart Insurer Digest, at a time when Zimbabwe's insurance industry continues to demonstrate resilience while navigating an increasingly complex operating environment.

The first half of 2026 has presented both encouraging progress and an important reminder of the work that lies ahead. Short-term insurance revenue grew by 18.2% year-on-year to approximately US\$164.9 million, accompanied by improvements in claims experience and underwriting performance. At the same time, the continued concentration of business in traditional classes, particularly Motor and Fire, highlights the need to broaden our relevance and reach into emerging and underserved areas of risk. Our industry cannot measure progress by premium growth alone. The more important question is whether insurance is becoming more accessible, responsive and valuable to the economy and to the communities we serve.



JAMES MHARADZE
ICZ CHAIRPERSON 2026/27

“

Our opportunity is not simply to insure more assets, but to protect livelihoods, enable investment and strengthen national resilience.”

Short-term insurance revenue grew by
18.2% year-on-year to approximately

**US\$164.9
million,**

accompanied by improvements in
claims experience and underwriting
performance.

This edition illustrates some of the ways in which our industry is beginning to respond to that challenge. The expansion of agricultural insurance, including the encouraging growth in participation in the Farmers Basket Agricultural Insurance Scheme, demonstrates the potential for insurance to strengthen the resilience of smallholder farmers and vulnerable households. In Buhera alone, participation increased from approximately 20 farmers in the previous season to more than 1,700 farmers.

We are equally seeing sustainability move beyond policy discussions into practical action. Whether through green and sustainability-linked investments, emergency medical response, financial inclusion or climate-resilient insurance solutions, ESG considerations are increasingly becoming part of how our sector understands its broader responsibility to society.

Innovation will also be fundamental to the industry's future. Technology offers opportunities to improve underwriting, claims, fraud detection, distribution and customer experience. But innovation must remain purposeful. It should ultimately make insurance easier to access, easier to understand and more responsive when customers need it most.

As a Council, our role is to create an environment in which our members can collaborate on challenges that are larger than any one institution. This requires continued partnership with Government, IPEC, development partners, innovators and other stakeholders.

As we enter the second half of 2026, I encourage our members to remain ambitious about the role insurance can play in Zimbabwe's development. Our opportunity is not simply to insure more assets, but to protect livelihoods, enable investment, strengthen resilience and build confidence in the promise of insurance.

I thank the ICZ membership, Board, management and our many partners for their continued commitment to this shared vision.

James Mharadze

Chairperson, Insurance Council of Zimbabwe

FROM THE CEO'S DESK

Turning Industry Purpose into Practical Impact

The first half of 2026 has been a period of deliberate action for the Insurance Council of Zimbabwe. Across emergency response, financial inclusion, agricultural insurance, innovation and sustainability, our focus has increasingly shifted from identifying industry challenges to implementing practical solutions that demonstrate the value of insurance in people's lives. That thinking continues to shape our work.

One of the clearest examples has been the evolution of our road-accident emergency-response programme. What began as a targeted festive-season intervention has provided valuable lessons for developing a broader national framework, supported by the 591 Call Centre and a network of ambulance-service providers. During the April 2026 deployment alone, 326 accident victims and patients were assisted across 196 emergency incidents.



DONALD MUTHE
CHIEF EXECUTIVE OFFICER

“

Our response cannot simply be to digitise yesterday's insurance model. We must rethink insurance around the needs and risks of tomorrow's customer.”

For us, this demonstrates what it means to put the “S” in ESG into practice. Insurance has an important role after a loss occurs, but our responsibility can extend further—towards preventing loss, reducing its severity and supporting stronger systems of community resilience.

We have adopted the same practical approach to financial inclusion. Through the Farmers Basket initiative, we are seeing smallholder farmers increasingly recognise insurance as a mechanism for recovery rather than an abstract financial product. Sustaining that confidence will require continued farmer education, credible loss assessment and, most importantly, the timely payment of valid claims. Innovation is another critical part of this journey. The ICZ Innovation Hub has been established to move us from discussing technological change to identifying and developing practical solutions in distribution, claims, underwriting, fraud detection, financial inclusion, sustainability, artificial intelligence and data analytics. Together with the IPEC Regulatory Sandbox, we now have the foundations of a pathway through which promising ideas can move from problem identification and development towards responsible testing and eventual market implementation.

There is, however, much more to do. Insurance

penetration remains an enduring challenge. Climate change is creating new and more complex exposures. Customer expectations are changing, while artificial intelligence and digital technologies are reshaping the economics of our industry.

Our response cannot simply be to digitise yesterday's insurance model. We must rethink products, partnerships and distribution around the needs of tomorrow's customer.

The work highlighted throughout this edition reflects an ICZ increasingly focused on implementation, collaboration and measurable impact. I extend my appreciation to our Board, member companies, staff, regulators, Government and partners whose continued support makes this work possible. Together, we can build an insurance industry that is innovative, inclusive, sustainable and, above all, trusted.

Donald Muthe

Chief Executive Officer, Insurance Council of Zimbabwe



1. Economic Summary

Global Economy

Global economic conditions weakened and became increasingly uncertain during the first half of 2026. The International Monetary Fund's April 2026 *World Economic Outlook* projected global growth of 3.1% in 2026 and 3.2% in 2027, based on the assumption that the Middle East conflict would remain contained. However, the World Bank's June 2026 *Global Economic Prospects* presented a weaker outlook, forecasting global growth of 2.5% in 2026 before a modest recovery to 2.8% in 2027. The revised environment reflected rising energy prices, disruptions to commodity markets, renewed inflationary pressures, tighter anticipated monetary conditions and continued geopolitical uncertainty.

IMF APRIL 2026 WORLD ECONOMIC OUTLOOK

3.1%

Global growth
in 2026

3.2%

Global growth
in 2027

WORLD BANK 2026 WOLD ECONOMIC OUTLOOK

2.5%

Global growth
in 2026

2.8%

Global growth
in 2027





Domestic Economy

For Zimbabwe, the external environment presented both opportunities and risks. Higher international gold prices supported mineral export earnings, the current-account position and prospects for mining investment. Conversely, elevated oil and other imported commodity prices increased domestic fuel, transport and production costs. Zimbabwe's limited access to international financing, partly reflecting longstanding external arrears and elevated country risk, also restricted its ability to benefit fully from global capital flows. In May 2026, the IMF projected Zimbabwe's economic growth at 4.2%, supported by stronger mining and agricultural activity, while noting that the increase in fuel prices could add approximately half a percentage point to inflation.

For the insurance and pensions sector, these global developments were transmitted through changes in asset valuations, investment returns, foreign-currency availability, reinsurance pricing and the cost of imported vehicles, machinery, medical supplies and replacement parts. Higher energy and transport costs could also increase claims-replacement values and operating expenses, while volatile financial markets could affect the performance and liquidity of investment portfolios.

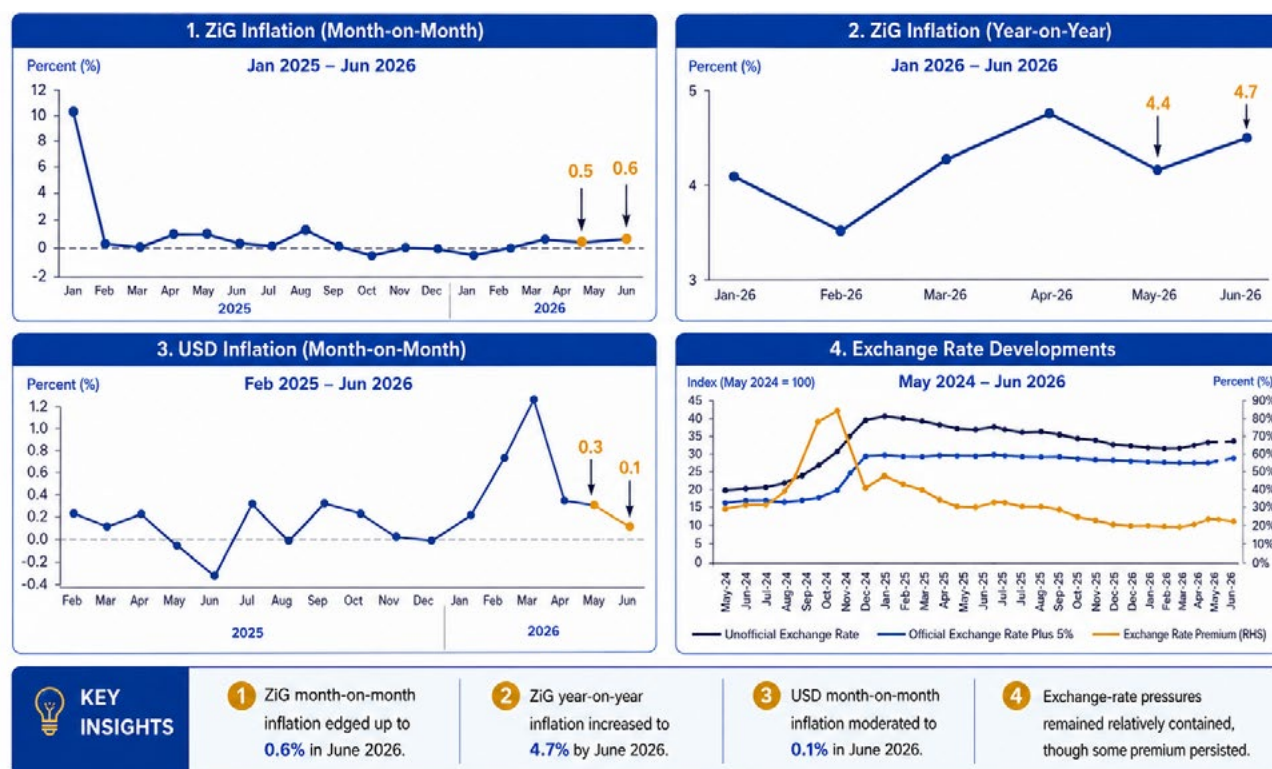
The IMF projected
Zimbabwe's economic
growth at

4.2%

supported by stronger
mining and agricultural
activity

The sector should therefore continue strengthening stress testing, asset-liability management, liquidity planning, capital buffers and scenario analysis. Stress scenarios should specifically consider energy-price shocks, exchange-rate movements, declining asset values, increased claims inflation, reinsurance-cost escalation and constraints on foreign-currency payments. Insurers and pension funds should also regularly review the adequacy of sums insured, policy limits and investment assumptions to reduce the risk of underinsurance and asset-liability mismatches.

Key Domestic Economic Highlights: The year to June 2026



Source: ZIMSTAT and market data

The modest rise in month-on-month ZiG inflation to 0.6% in June 2026, together with the acceleration in annual inflation to 4.7%, suggests that domestic price pressures are becoming more persistent rather than purely temporary. Although inflation remains in single digits, the simultaneous increase in both measures indicates that earlier geopolitical, energy and supply-chain pressures may still be

filtering through to domestic prices. The outlook therefore remains vulnerable to continued volatility in global commodity markets and regional supply disruptions. Containing these pressures will require continued prudent liquidity management by the central bank, supported by disciplined and targeted fiscal measures.

2.

Short-Term Insurance Sector Performance

2.1 Short-Term Insurance Sector Architecture

Table 2.1 Architecture of the Short-term Insurance Sector

Type of Institution	Number of Registered Entities / Persons as at		YTD Change
	31-Mar-26	31-Dec-25	
Insurance Companies	21	21	0%
Microinsurance Companies	16	16	0%
Reinsurance Companies	10	10	0%
Insurance Brokers	29	29	0%
Reinsurance Brokers	9	8	13%
Underwriting Management Agencies	3	4	-25%
Loss Assessors	77	73	5%
Corporate Agents	242	228	6%
Aggregators	1	1	0%
Multiple Agents	94	90	4%
Sole Agents	455	425	7%
Total	957	905	6%

The short-term insurance sector remained diverse across traditional and specialised classes of business, although revenue continues to be highly concentrated in a few major product lines. Motor insurance remained the dominant class, accounting for 50.5% of total insurance revenue, followed by Fire at 16.0%, Personal Accident at 8.1%, Engineering at 6.5% and Farming at 4.1%.

This concentration highlights the continued dependence of the sector on motor insurance, while also pointing to opportunities for diversification into agriculture, engineering, liability and other emerging risk classes.

Motor insurance remained the dominant class, accounting for

50.5%
of total insurance revenue



2.2 Short-Term Insurance Sector Revenue

2.2 Short-Term Insurers' Insurance Revenue by line of Business

Line of Business	Q2 2026 Insurance Revenue (ZWG Million)	Q2 2026 Insurance Revenue (US\$ Million)	Q2 2025 Insurance Revenue (US\$ Million)	Change	Q2 2026 Insurance Revenue Contribution
Aviation	44.9	1.7	1.7	↑ +0.5%	1.1%
Bonds/Guarantee	141.2	5.5	5.7	↓ -3.9%	3.3%
Engineering	277.5	10.8	8.5	↑ +26.2%	6.5%
Farming	172.6	6.7	9.0	↓ -25.5%	4.1%
Fire	679.3	26.3	22.0	↑ +19.5%	16.0%
Marine	105.1	4.1	4.0	↑ +0.6%	2.5%
Misc. Accident	139.6	5.4	2.3	↑ +140.3%	3.3%
Motor	2,150.5	83.3	69.4	↑ +20.0%	50.5%
Personal Accident	345.1	13.4	10.9	↑ +23.2%	8.1%
Public Liability	125.7	4.9	3.9	↑ +24.2%	3.0%
Credit	23.8	0.9	1.2	↓ -21.3%	0.6%
Others*	51.8	2.0	0.9	↑ +123.1%	1.2%
Total	4,257.1	164.9	139.5	↑ +18.2%	100.0%

For the six months ended 30 June 2026, the short-term insurance sector generated ZWG4.26 billion in insurance revenue, equivalent to approximately US\$164.9 million, compared with US\$139.5 million in the corresponding period in 2025. This represents year-on-year growth of 18.2%, demonstrating continued expansion in the sector.

Growth was broad-based across several major business lines. Miscellaneous Accident recorded the strongest growth at 140.3%, followed by Others at 123.1%, Engineering at 26.2%, Public Liability at 24.2%, Personal Accident at 23.2%, Motor at 20.0% and Fire at 19.5%. In contrast, Farming declined by 25.5%, Credit by 21.3% and Bonds/Guarantee by 3.9%.

Motor generated approximately US\$83.3 million, representing 50.5% of sector revenue, while Fire contributed US\$26.3 million or 16.0%. Together, these two classes accounted for approximately 66.5% of total sector insurance revenue, underscoring the sector's continued concentration in traditional lines.



Short-Term Insurance Sector Performance Half Year Ended 30 June 2026

The short-term insurance sector delivered **strong half-year growth**, with insurance revenue rising by **18.2%** to **US\$164.9m** in the half year ended 30 June 2026, up from **US\$139.5m** in the comparative period. This is equivalent to **ZWG 4,257.1m**.

Aggregate capital remained **broadly sound**. The equity-to-total-assets ratio improved from **39%** at year-end 2025 to **40%**, while total assets increased from **ZWG 8,041.91m** to **ZWG 8,263.46m**.

Prescribed-assets performance **improved** at sector level, with the prescribed assets ratio increasing from **10%** at year-end 2025 to **14%** by 30 June 2026. However, insurer-level positions remained mixed, warranting continued compliance attention.

Profitability **moderated**. Return on Equity declined from **14%** to **10%**, while Return on Assets eased from **6%** to **4%**.

Underwriting performance remained **resilient**. The underwriting margin **improved** from **12%** to **13%**, while the claims ratio **improved** from **55%** to **53%**.



Key Sector KPIs

KPI	Year Ended 2025	30 Jun 2026	Trend
Prescribed Assets Ratio	10%	14%	↑
Equity/Total Assets Ratio	39%	40%	↑
Return on Equity	14%	10%	↓
Return on Assets	6%	4%	↓
Total Assets (ZWG Millions)	8041.91	8263.46	↑
Claims Ratio	55%	53%	↓
Underwriting Margin	12%	13%	↑



Source: IPEC Short Term Insurance Report

The sector reported an aggregate profit after tax of ZWG315.68 million, an insurance service result of ZWG543.33 million, and net investment income of ZWG355.87 million during the period.

2.4 Summary / Reflections from Q2 2026 Short-Term Insurance Sector

The short-term insurance sector maintained positive revenue momentum during the first half of 2026, with insurance revenue increasing by 18.2% year-on-year from US\$139.5 million to US\$164.9 million, equivalent to approximately ZWG4.26 billion. Growth was supported particularly by Motor, Fire,

Engineering, Personal Accident and Public Liability business, although performance remained uneven across product classes.

Revenue concentration remains an important structural consideration. Motor alone accounted for 50.5% of insurance revenue, while Motor and Fire collectively contributed 66.5%. While these classes provide a strong revenue base, the concentration increases the sector's exposure to developments affecting motor claims, vehicle repair costs, road accident frequency and fire-related losses. Diversification into agricultural, liability, engineering and other emerging risks therefore remains strategically important.

The decline in Farming insurance revenue by 25.5%, from approximately US\$9.0 million to US\$6.7 million, is particularly noteworthy given Zimbabwe's increasing exposure to drought, rainfall variability and other climate-related risks. The decline warrants further analysis, including whether it reflects timing of agricultural insurance programmes, affordability constraints, changes in insured acreage or limited penetration rather than reduced underlying risk.

The sector's balance sheet strengthened, with total assets increasing from ZWG7.57 billion at March 2026 to ZWG8.26 billion at June 2026, while the equity-to-total-assets ratio improved marginally from 39% to 40%. The aggregate prescribed-assets ratio declined from 15.35% to 14%, but remained above the statutory minimum at sector level. However, the aggregate position should not be interpreted as evidence of universal compliance, as institution-level performance remains uneven.

Profitability also improved, with return on equity increasing from 6% to 10% and return on assets from 2% to 4%. Underwriting performance strengthened, with the claims ratio declining from 56% to 53% and the underwriting margin increasing from 12% to 13%. A combined ratio of 98% indicates that the sector remained marginally profitable from its core insurance operations before considering investment

income, although the 45% expense ratio remains an area requiring continued cost-management attention.

Liquidity remained broadly adequate, with an aggregate current ratio of 111%, while net investment income amounted to approximately ZWG355.87 million. The sector recorded profit after tax of ZWG315.68 million, reinforcing the improvement in overall profitability during the period.

Overall, the Q2 2026 results point to a sector characterised by strong revenue growth, improving profitability, strengthening assets and better claims experience. Key areas requiring continued management and regulatory attention include revenue concentration in Motor, institution-level prescribed-assets compliance, expense efficiency, agricultural insurance penetration and the sustainability of underwriting margins amid inflationary and climate-related claims pressures.

Interpretation note: Balance-sheet ratios as at March and June 2026 can reasonably be compared, but income-statement measures such as ROE, ROA and revenue may be reported on a cumulative basis. Quarter-to-quarter movements in these indicators should therefore be interpreted cautiously and confirmed against IPEC's methodology.

One Suzuki Line-Up!

Built for every road and every lifestyle.

SERVICE SALES PARTS

Book a test drive today!

+263 242 481 229 | +263 777 995 429 | sales@suzuki.co.zw

Harare: 8 Hindhead Avenue Chisipite | Bulawayo: 118 G Silundika, 12th Avenue





3. Buhera Farmers Embrace Crop Insurance as Payouts Build Confidence

More than 1,700 smallholder farmers in Buhera have enrolled in the Farmers Basket Agricultural Insurance Scheme, marking a significant increase from approximately 20 farmers during the previous season.

*Based on original reporting by Blessed Ndlovu, NewsDay Business | 24 July 2026
Editorially adapted for publication.*

The growing participation reflects increasing awareness among communal farmers of the importance of protecting their livelihoods against drought and other climate-related risks. It also represents an important milestone in ICZ's evolving ESG journey, particularly under the social pillar, where financial inclusion, community resilience and access to essential risk-protection solutions remain key priorities.

The Farmers Basket Agricultural Insurance Scheme is spearheaded by the Insurance Council of Zimbabwe in partnership with the Government of Zimbabwe and implemented through AFC Insurance under the agricultural insurance pool, Agropool. The scheme was developed to extend affordable agricultural insurance to smallholder farmers who have traditionally had limited access to formal risk-transfer solutions.

Under the scheme, farmers pay a premium of US\$24 to insure crops valued at up to US\$300. Compensation is determined by the extent of crop losses recorded during the season, using a combination of weather data and area-yield assessments.

Following the latest seasonal assessment, participating farmers in Buhera received average payouts of approximately US\$54 each, together with 2kg of maize seed to assist them in preparing for the next farming season. The payout represented close



ICZ Agropool Chairperson Cuthbert Masukume Addresses attendees at the Buhera Pay Out Ceremony

to 20% of the insured value, reflecting the level of crop losses recorded in the district.

Farmers in districts that experienced more severe drought conditions have reportedly received payouts of up to US\$200, demonstrating how compensation varies according to the severity of losses experienced in each area.

ICZ Agropool Chairperson and AFC Insurance Managing Director Cuthbert Masukume said Buhera was selected to host the payout ceremony because of the remarkable increase in farmer participation. The rise in enrolment indicates growing confidence in agricultural insurance as farmers begin to see the practical value of receiving financial support following poor production seasons.



Mr. A. Shumba Acting Chief Director of Business Development, Markets and Trade at the Ministry of Agriculture, Mechanisation and Water Resources Development hands out maize seed at the pay out ceremony

The scheme currently operates in approximately 10 districts, with plans to increase the number of participating wards and extend coverage to additional districts ahead of the 2026/27 summer cropping season.

Government representatives have also welcomed the initiative as an important step towards bringing communal farmers into the formal agricultural insurance system. Although commercial farmers have historically had greater access to insurance, smallholder farmers constitute the majority of Zimbabwe's farming population and remain among those most exposed to climate shocks.

Agricultural support programmes can improve productivity and access to inputs, but they cannot entirely protect farmers from droughts, floods and increasingly unpredictable weather patterns. Insurance therefore provides an additional layer of protection by helping affected households recover, purchase inputs and return to production in the following season.

For participating farmers such as Buhera-based

Edmore Magaire, the payout provides timely assistance towards purchasing inputs and meeting household needs. His experience illustrates how even relatively modest insurance payouts can support recovery and reduce the financial pressure placed on rural families following crop losses.

The rapid growth in participation in Buhera represents an encouraging development for the Farmers Basket initiative. However, sustained farmer education, timely loss assessments and prompt payment of valid claims will remain essential to maintaining confidence and expanding agricultural insurance across Zimbabwe.

Source acknowledgement: Adapted from "Buhera farmers embrace crop insurance as ICZ intensifies payment efforts," originally reported by Blessed Ndlovu and published by NewsDay Business on 24 July 2026.

4. The year in pictures

i. Paramedics Day commemorations at Town House, Harare



i. ICZ CARES Golf Day



A Day on the Green, A Lifetime of Impact

We extend our sincere gratitude to all our sponsors, partners, and participants who made the ICZ Annual Charity Fundraising Golf Tournament in support of Con-Cert a resounding success.

Your generosity, presence, and support are truly appreciated and go a long way in making a meaningful impact. Together, we are driving positive change.

Thank you for being part of this important cause.



iii. The Opening Ceremony of the Africa Network of Insurers Associations (ANIA) Retreat and Conference, Accra, Ghana. ICZ is a member of ANIA



iv. ICZ ICT Manager Alex Chidoori, receiving the ZIM CEO's Network Gold Award: Outstanding IT Manager



v. ICZ CEO Receives Super Platinum Award from the Zim CEO's Network

The Insurance Council of Zimbabwe (ICZ) Chief Executive Officer, **Donald Muthe**, was honoured with the prestigious **Super Platinum Award** at the **Zim CEO's Network Awards Ceremony**, recognising his leadership, commitment and contribution to strengthening the Council and advancing Zimbabwe's insurance industry. The recognition is also a testament to the collective efforts of the ICZ team and its members in pursuing a more responsive, innovative and sustainable insurance industry.



vi. Congratulatory messages

Congratulations!



James Mharadze



Insurance Council of Zimbabwe

CHAIRPERSON 2026/7

Your appointment to the ICZ Presidium is well deserved.
Congratulations, & may your tenure be impactful & Blessed

Congratulations!



Alice Shumba



Insurance Council of Zimbabwe

VICE CHAIRPERSON 2026/7

Your appointment to the ICZ Presidium is well deserved.
Congratulations, & may your tenure be impactful & Blessed

SECURING TOMORROW TODAY

INDUSTRIES SERVED:

- Agriculture
- Transport
- Manufacturing
- Construction
- Retail & Trade
- Hospitality and more...

Licensed by IPEC



OUR SOLUTIONS



Agriculture Insurance

Comprehensive cover for crops, machinery, livestock and more. We grow with you.



Motor Insurance

Third party, Fire & Theft and Comprehensive covers to keep you moving with confidence.



Home Insurance

Protection for your homes, buildings, contents and business assets.



Liability Insurance

Covers against legal liability claims for your business and assets.



Personal Accident Insurance

Financial protection against accidental injury, disability or death.



Travel Insurance

Travel with peace of mind, locally or internationally

5. Green Investment Opportunities for Zimbabwean Insurers:

A case for renewable energy, climate-smart agriculture, resilient infrastructure and other sustainability-linked assets

BY ZIBUSISO ANDILE MOYO

The global financial architecture is undergoing a major shift toward sustainability driven by the escalating impact of the triple planetary crises (climate change, biodiversity loss and pollution) on life and business as we know it. This transition presents both a call to action and an unprecedented opportunity for the insurance sector to build long-term business viability while strengthening the socio-economic and environmental resilience of people and the planet against these emerging risks. Navigating an operating landscape constantly reshaped by more frequent and higher-intensity shocks requires a relook at the role of insurers beyond risk transfer. Beyond risk transfer, insurers are resilience builders that leverage risk management, innovation and capital allocation to solve societal challenges whilst ensuring policyholder value creation and business sustainability.

Globally, capital reallocation toward sustainable finance is accelerating to meet the ambitious target to achieve the Sustainable Development Goals by 2030. This global momentum is visibly cascading into Sub-Saharan Africa



Zibusiso Andile Moyo

PROFILE

Zibusiso is an ESG and Climate Finance practitioner, he brings practical experience in sustainable finance, responsible investing, insurance, ESG strategy, innovation and product development. He holds a BSc in Environmental Science and Health and a Dual MBA in Impact Entrepreneurship, and serves on the NDSI ESG Roadmap Working Group and the National Biodiversity Forum.



Recent regional assessments
indicate that an estimated
**US\$52
billion**
in Assets Under Management across
surveyed African insurers is already
aligned to sustainability goals.



and the broader region. The African insurance industry is beginning to recognise its critical role in funding structural transformation. Recent regional assessments indicate that an estimated US\$52 billion in Assets Under Management across surveyed African insurers is already aligned to sustainability goals. Through frameworks and coalitions such as the Nairobi Declaration on Sustainable Insurance (NDSI), local insurers are gradually shifting from traditional low variety, high-yield short-term papers to long-term sustainability-linked assets. Strategically diversifying investment portfolios in line with recognised taxonomies supports economic development, generates sound financial returns, and delivers meaningful environmental and social benefits.

In Zimbabwe, the current investment landscape presents unique structural characteristics. Macroeconomic challenges have led to a preference for defensive investment postures, in which investors prioritise tangible assets that offer capital preservation over development gains. Consequently, the pension and insurance industry has traditionally parked capital in safe havens, with investment properties and quoted equities currently constituting over 58% of total assets in 2025, a decrease from 69% in 2024. As of Q1 2026, while the average prescribed asset compliance level for direct short-term insurers improved to 15.35%, compliance is not broad-based, with half of the insurers remaining below the threshold. This deficit is largely driven by a hesitancy toward traditional government paper, often perceived to have lower yields and higher uncertainty. However, the narrative is shifting. Sustainable investments with prescribed assets are emerging as an alternative, backed by robust business cases, off-take agreements and project cash flows rather than sovereign guarantees alone.

The ability to capitalise on these opportunities requires investment committees to transition beyond traditional metrics and incorporate ESG considerations, precise Asset-Liability Matching, and tailor strategy to specific liquidity pools. It means that a short-term, non-life insurer must deploy capital into highly liquid instruments, such as 180-day to 1-year climate-smart agro-based commercial papers that provide the short-term yield mechanics necessary to meet immediate claims reserves and preserve capital. Conversely, a life insurer with patient capital can

anchor a portfolio in 10-year ESG-linked infrastructure investments. By carefully matching the duration of these long-term green assets to their long-tail annuity liabilities, they can achieve stable and predictable cash flows that outperform equity markets without sacrificing sustainability goals.

The recent Comprehensive Guidance on Adoption of Sustainability Principles by the regulator fundamentally alters the landscape. This guidance, deeply rooted in the Principles for Responsible Investment, shifts ESG integration from a voluntary best practice to a regulatory expectation. Investment professionals must now actively assess ESG factors, ensuring their capital allocation generates measurable positive outcomes alongside financial returns. Crucially, such investments offer a double dividend for non-life portfolios, generating a healthy investment return while actively reducing underlying underwriting losses. For instance, funding climate-smart irrigation infrastructure yields a financial return while simultaneously reducing the frequency and severity of drought-related agricultural insurance claims.

In renewable energy, insurers can target private rooftop solar syndications and industrial solar projects backed by preferred currency-denominated off-take contracts from mining and manufacturing companies, entirely bypassing sovereign utility credit risk.

In agriculture, structured trade finance and parametric insurance-linked debt products support climate-smart value chains. These parametric instruments use predefined triggers, such as rainfall deficits measured by satellite, to automatically provide rapid liquidity to rural farmers while offering investors a transparent yield largely uncorrelated to broader financial market downturns.

While the strategic rationale is clear, the available pool of listed sustainability-linked opportunities remains limited. This scarcity is partly driven by a perception of low market appetite, low risk appetite and an institutional unwillingness to move beyond traditional investment opportunities. Investment committees often suffer from status quo bias, preferring familiar asset classes over novel green instruments that require updated due diligence frameworks. Consequently,





most projects with sound ESG returns are capitalised through private placement mandates rather than public markets, requiring committees to proactively seek unlisted opportunities.

Transitioning to green investments is not without constraints and risks. We must carefully navigate currency volatility and liquidity risks, as tying up capital in long-tenure projects limits short-term flexibility. Concentration risk remains a key concern, compounded by high upfront capital requirements often associated with large scale renewable energy and sustainable agriculture projects. In order to overcome these hurdles, we must redirect substantial capital through innovative financing structures and credit enhancement tools. By pooling resources through syndication, insurance companies can collaboratively fund large-ticket projects. Likewise, deploying blended finance mechanisms, first-loss capital stacks from development finance institutions, and partial credit guarantees can insulate local insurers from default risks, achieving the scale necessary to generate meaningful impact.

In conclusion, sustainable investments present a compelling revenue opportunity and a strategic pathway for transforming Zimbabwe's insurance sector. By leveraging sustainable assets more deliberately, insurers can reduce basis risk and underlying exposure for vulnerable communities while supporting national development priorities and multilateral commitments. Embracing this transition enables institutions to comply with the Principles for Responsible Investment, enhancing organisational reputation. The path forward requires insurers to move beyond compliance-led allocation and adopt proactive, sustainable investment strategies that protect policyholder value, strengthen societal resilience and contribute to the prosperity of the nation.

6. Beyond Insurance: ICZ Expands Emergency Response under its ESG Social Pillar

Article by Editor

Building on the success of its festive-season highway ambulance deployment, the Insurance Council of Zimbabwe has expanded its emergency response framework through agreements with ambulance providers stationed across the country. The initiative reflects ICZ's growing commitment to translating environmental, social and governance principles into practical interventions that protect lives and support communities.

For the Insurance Council of Zimbabwe (ICZ), sustainability is increasingly becoming more than a policy commitment or reporting requirement. It is being translated into programmes that respond directly to some of the social challenges affecting Zimbabwean communities.

One such intervention is ICZ's coordinated road-accident emergency response programme, implemented as part of the social pillar of its environmental, social and governance journey. The programme recognises that insurers have a broader role to play in promoting public safety, improving access to emergency assistance and reducing the

human consequences of road traffic accidents.

Building on the festive-season deployment

During the 2025/26 festive season, ICZ implemented a targeted ambulance deployment programme in response to the increased traffic volumes and heightened accident risk traditionally experienced during the holiday period.

Ambulances were strategically positioned along major highways and accident-prone transport corridors, supported by the 591 Call Centre, which remained



operational around the clock to receive accident reports and coordinate emergency dispatches.

The intervention facilitated responses to 226 verified road traffic incidents during the festive period. It also demonstrated the value of coordinated action involving insurers, ambulance providers, law-enforcement agencies and other emergency-response stakeholders.

The experience highlighted an important reality: the effectiveness of post-accident assistance often depends not only on whether emergency services exist, but also on whether they can be reached, coordinated and dispatched quickly.

ICZ therefore used the lessons from the festive deployment to develop a broader and more sustainable response model.

From selected highway points to nationwide coverage To increase the programme's geographical reach, ICZ subsequently entered into Memoranda of Understanding with ambulance service providers stationed across Zimbabwe.

Rather than limiting emergency support to ambulances temporarily positioned at selected highway hotspots, the expanded arrangement made use of service providers already operating in different parts of the country. This created a wider network through which emergency calls could be allocated to the nearest available provider.

The framework was activated throughout April 2026, covering the Easter and Independence Day peak travel periods. These holidays are associated with increased intercity and long-distance travel, placing added pressure on highways and emergency medical services.

Under the arrangement, reports received through the 591 Call Centre were verified and referred to the



appropriate ambulance provider for response. The call centre served as the central coordination point, helping connect accident victims and other patients with emergency medical assistance.

The April deployment attended to 196 emergency incidents nationwide. Through these responses, 326 accident victims and patients were transported or medically assisted, equivalent to approximately 1.6 people for every incident attended. The figures also indicate that a considerable number of deployments involved multiple victims, underscoring the potentially severe nature of incidents recorded during peak travel periods.

Putting the “S” in ESG into practice

The initiative reflects the practical meaning of the social component of ESG within the insurance sector. The social pillar considers how an organisation affects its employees, customers, suppliers and the wider communities in which it operates. For ICZ, this includes promoting financial inclusion, supporting vulnerable communities, advancing consumer protection and contributing to public-safety initiatives.

Emergency road-accident response is closely connected to this responsibility. Road crashes can cause loss of life, permanent disability, lost household income and considerable financial strain for affected families. Delays in accessing medical assistance may further worsen the consequences.

By strengthening coordination between the public, ambulance providers and the insurance industry, the programme seeks to reduce these gaps and improve access to timely assistance.

The initiative also demonstrates how insurance can contribute to society beyond the traditional payment of claims. While compensation remains central to the



The Voice of short-term Insurers and Reinsurers in Zimbabwe

© HELPDESK +263 788 609 944 www.icz.co.zw

industry's mandate, insurers can also help prevent losses, reduce their severity and support systems that promote community resilience.

The central role of the 591 Call Centre

The 591 Call Centre remains a critical component of the emergency-response framework. Its centralised model enables members of the public to report road traffic accidents through a dedicated channel while allowing calls to be logged, verified and referred for action.

The platform also strengthens accountability by creating records of reported incidents, dispatched

providers and victims assisted. Over time, this information can help identify high-risk locations, periods of increased accident activity and gaps in emergency-service coverage.

However, the value of the system depends heavily on public awareness. Motorists, passengers, transport operators and communities along major roads must know that the service exists and understand when and how to use it.

Continued awareness campaigns will therefore be essential to ensuring that the 591 service becomes widely recognised as a national entry point for coordinated road-accident assistance.

Towards a Sustainable National Emergency-Response Model

The transition from the festive-season arrangement, which relied on a single provider operating along predetermined routes, to a wider network of ambulance service providers represents a significant step in ICZ's evolving ESG journey. By drawing on emergency-response capacity already positioned across the country, the expanded framework enables broader national coverage and a more flexible response to incidents wherever they occur.

This approach moves the initiative beyond a time-bound intervention concentrated at selected highway points towards a coordinated model capable of connecting accident victims and patients with the nearest available service provider through the 591 Call Centre.

Its long-term sustainability will depend on continued collaboration among insurers, ambulance providers,

healthcare institutions, law-enforcement agencies and relevant government authorities. Clear service standards, effective coordination and consistent monitoring will also be important in assessing response times, geographical reach, patient outcomes and the reliability of participating providers.

The April deployment demonstrated both the considerable demand for emergency medical services and the value of a coordinated national response framework. A total of 326 accident victims and patients were assisted across 196 emergency incidents, translating ICZ's social commitments into direct and potentially life-saving support for communities during peak travel periods.

As ICZ's sustainability journey continues to mature, initiatives of this nature demonstrate that responsible insurance extends beyond issuing policies and settling claims. It also involves protecting lives, reducing the severity of loss, strengthening national resilience and supporting communities at their most vulnerable.



7. When Insurance Works—and When Compassion Must Step In

Article by Editor

ICZ's response to major road accidents demonstrates both the value of compulsory insurance and the humanitarian role of ex-gratia assistance within its ESG journey

Road traffic accidents leave consequences that extend far beyond damaged vehicles. They result in loss of life, serious injuries, interrupted livelihoods and unexpected financial burdens for passengers and their families. In the immediate aftermath of a major accident, affected households are often required to meet funeral, medical and related expenses while still coming to terms with grief and trauma.

Recent public passenger accidents have demonstrated the important role that insurance can play in easing this burden. They have also exposed the difficult circumstances that arise when transport operators fail to comply with statutory insurance requirements.

For the Insurance Council of Zimbabwe (ICZ), these incidents have reinforced two important principles: first, that valid insurance must respond promptly when an insured event occurs; and second, that humanitarian assistance may sometimes be necessary where the absence of cover would otherwise leave vulnerable victims and their families without meaningful support.

This approach forms an important part of ICZ's evolving environmental, social and governance journey, particularly under the social pillar, which places people, community welfare and financial protection at the centre of responsible insurance.

When insurance works

The true value of insurance becomes visible at the point of loss.

Following the Bulawayo–Beitbridge Highway

commuter minibus accident of 16 April 2026, which claimed 18 lives, it was established that the vehicle was compliant with the Road Traffic Act and held valid cover under the COMESA Yellow Card Scheme. The relevant policy was activated, enabling ICZ and its members to work with the Civil Protection Unit towards timely support and compensation for the affected families.

Similarly, following the Nyamapanda Highway bus accident of 5 May 2026, the Motor Insurance Pool policy held by the Malawi-registered vehicle was activated. The existence of valid insurance provided an established mechanism through which claims could be processed and financial assistance extended to eligible victims and bereaved families.

The Gokwe bus accident of 27 May 2026 provided another example of insurance responding as intended. The public passenger vehicle involved was compliant with the statutory Public Passenger Liability requirements, allowing the policy to be activated and the compensation process to commence.



Gokwe Bus accident: Eight people were killed recently in a head-on collision involving a passenger bus and a haulage truck along the Gokwe-Kwekwe Road.

In each of these cases, insurance compliance created a defined path for providing financial relief. It did not undo the loss or remove the grief experienced by families, but it ensured that the financial consequences were not left entirely with injured passengers and bereaved households.

This is the basic promise of insurance: to transfer an uncertain but potentially devastating financial risk from an individual or household to an institution capable of absorbing and managing it.

When there is no cover

The position becomes more difficult when a public passenger vehicle operates without the insurance required by law.

Following the Chiredzi–Railroad bus accident of 16 June 2026, the vehicle involved was found not to be compliant with the Road Traffic Act’s Public Passenger Liability insurance requirements. In such circumstances, there was no valid policy to activate and no insurer legally obligated to compensate the victims under the statutory framework.

Recognising the immediate hardship facing the affected families, ICZ committed to providing assistance towards funeral and medical expenses, in liaison with the Civil Protection Unit and broadly aligned with the applicable statutory compensation limits.

Such support is provided on an ex-gratia basis—out of goodwill and humanitarian concern rather than because of a contractual or legal obligation.

Ex-gratia assistance reflects the human side of ICZ’s social mandate. It acknowledges that victims and passengers generally have no control over whether a transport operator has purchased the required insurance. Many passengers board public transport with a reasonable expectation that the operator has complied with the law. They should not bear the full consequences of decisions made by those responsible for operating the vehicle.

For families dealing with death, injury and sudden financial distress, timely assistance can help meet immediate funeral and medical needs and prevent an



Gokwe Bus accident: Eight people were killed recently in a head-on collision involving a passenger bus and a haulage truck along the Gokwe-Kwekwe Road.

already traumatic event from becoming a prolonged financial crisis.

The moral-hazard concern

Ex-gratia assistance must, however, be approached carefully. There is a legitimate risk that repeated humanitarian interventions may inadvertently create the impression that non-compliant operators will ultimately be rescued by the insurance industry or other institutions. That would send the wrong message and weaken the incentive to comply with compulsory insurance requirements.

An ex-gratia payment must therefore never be interpreted as a substitute for insurance, an automatic entitlement or a waiver of the transport operator’s responsibility.

Where a transport operator fails to purchase compulsory cover, the operator has not eliminated or saved the cost of risk. It has merely transferred the financial consequences to those least able to carry them—the injured passengers, bereaved families, healthcare institutions, the State and, in some cases, the compliant members of the insurance industry.

The apparent saving from avoiding an insurance premium is therefore false. The risk remains; only the person ultimately forced to bear it changes.

This is particularly concerning in public passenger transport, where operators have a heightened duty of care. Their businesses depend on members of the public entrusting them with their lives. Compliance

with passenger liability insurance should therefore be viewed as a minimum operating requirement rather than an optional administrative expense.

Strengthening enforcement and accountability

ICZ commends the Ministry of Transport and Infrastructural Development, the Zimbabwe Republic Police and other responsible authorities for their efforts to strengthen road safety and curb non-compliance.

Sustained enforcement remains essential. Public passenger vehicles should not be permitted to operate without valid insurance, roadworthiness certification and the other licences required by law. Verification should occur not only after an accident but routinely at licensing points, roadblocks, termini and other relevant checkpoints.

Technology can also play a greater role through real-time electronic verification of insurance status, supported by integrated databases accessible to law-enforcement and transport authorities. This would make it more difficult for operators to use expired, fraudulent or invalid insurance documents.

Non-compliant operators should also remain accountable for the consequences of their decisions. Humanitarian support to victims should not extinguish the right of responsible institutions to pursue recovery from operators or take appropriate regulatory and legal action.

Balancing compassion with good governance

Within ICZ's ESG framework, ex-gratia assistance sits at the intersection of the social and governance pillars.

The social pillar calls for compassion, inclusion and support for vulnerable people. The governance pillar requires transparency, consistency, accountability and clear decision-making processes.

Ex-gratia interventions should therefore be governed by defined eligibility criteria, documented approvals, appropriate limits and clear communication that assistance is discretionary and does not establish an

automatic precedent. This protects the integrity of the intervention while ensuring that genuine humanitarian needs can still be addressed.

Good governance also requires the industry to distinguish clearly between compensation arising from a valid insurance contract and assistance provided voluntarily where no cover exists. Both may provide relief, but their legal foundations are fundamentally different.

Insurance as a social protection mechanism

ICZ's response to recent road accidents demonstrates that responsible insurance extends beyond issuing policies and settling routine claims. It includes supporting national resilience, promoting compliance, improving access to emergency assistance and protecting communities from severe financial shocks. Where valid cover exists, the insurance mechanism must respond efficiently and fairly. Where it does not, ex-gratia assistance may provide a compassionate bridge for victims who would otherwise face the consequences alone.

However, compassion cannot become a permanent remedy for non-compliance. The sustainable solution lies in ensuring that every public passenger operator carries valid statutory insurance and that every passenger is protected before a journey begins.

Insurance works best when it is in place before tragedy occurs. Ex-gratia assistance can alleviate immediate suffering, but it cannot replace the certainty, accountability and financial protection provided by proper insurance cover.



Insurance Council of Zimbabwe

IN AN ACCIDENT? CALL

591



Toll Free!



SAVING LIVES ONE CALL AT A TIME

[f](#) [@](#) [x](#) [in](#) www.icz.co.zw

The Voice of short-term Insurers and Reinsurers in Zimbabwe

[📞](#) **HELPDESK** > +263 78 860 9944

8. From Ideas to Impact:

ICZ Innovation Hub Complements IPEC's Regulatory Sandbox

Article by Editor

Building an innovation pipeline that advances financial inclusion, responsible transformation and practical insurance solutions



The Insurance Council of Zimbabwe's evolving environmental, social and governance journey recognises that the long-term sustainability of insurance depends on the industry's ability to remain relevant and accessible to the people and sectors it serves.

For many Zimbabweans, particularly informal businesses, rural communities, smallholder farmers and micro, small and medium enterprises formal insurance remains difficult to access, understand or afford. Conventional products and distribution models do not always reflect their income patterns, operating environments, risk exposures or preferred ways of conducting business.

Innovation must therefore go beyond adopting new technology. It should help the industry design better products, reduce the cost of service delivery, simplify customer journeys and extend meaningful protection to communities that have historically remained outside the formal insurance system.

Against this background, ICZ launched the Insurance Innovation Hub to promote practical solutions across areas such as insurance distribution, claims management, underwriting, fraud detection, risk aggregation, financial inclusion, sustainability, artificial intelligence and data analytics. The initiative also supports Zimbabwe's broader digital-transformation agenda by encouraging the responsible application of technology within the insurance sector.

Building on the 2025 AI and Machine Learning Research Competition

The Innovation Hub builds on the foundation established through ICZ's 2025 Artificial Intelligence and Machine Learning Research Competition.

The competition invited researchers to examine how AI and machine learning could transform insurance operations, products and decision-making. It also demonstrated the



Winners of the 2025 ICZ Research Competition

value of pooling industry resources to support research and develop solutions that individual insurers may not have had the capacity to pursue independently.

However, the competition reinforced an important lesson: generating promising ideas is only the beginning.

Research findings, algorithms, prototypes and technology concepts do not automatically become viable insurance solutions. They must be assessed against genuine customer needs, commercial realities, regulatory requirements, operational systems, data availability, consumer protection obligations and the willingness of insurers and policyholders to adopt them.

The Innovation Hub represents the next stage of this journey—from researching technological disruption to creating a structured pathway through which credible ideas can be refined, tested and potentially operationalised.

Moving beyond idea generation

The ICZ Innovation Hub is designed to move beyond competitions and idea-generation into practical industry engagement and market testing. By creating structured interaction between insurers and innovators, the Hub will deliberately expose proposed solutions to real insurance sector needs,

commercial considerations, regulatory requirements and operational constraints.

Innovators will gain a clearer understanding of how insurance products are priced, underwritten, distributed and administered. They will also be expected to consider claims experience, data security, consumer protection, system integration and the long-term financial sustainability of their proposed business models.

Insurers, in turn, will gain access to new perspectives, technical capabilities and ideas that may help address persistent challenges across the insurance value chain.

The objective is to ensure that the strongest proposals are not merely technologically impressive. They must also be commercially viable, scalable and capable of solving clearly identified market problems.

Where solutions demonstrate meaningful potential, the Hub may facilitate further support through industry mentorship, technical refinement, engagement with possible partners and pathways towards operationalisation.

The true measure of success will therefore not be the number of ideas submitted but the number of credible solutions that progress towards testing, adoption and

measurable benefits for policyholders.

Innovation through an ESG lens

The Innovation Hub forms part of ICZ's broader commitment to embedding ESG principles within Zimbabwe's short-term insurance sector.

Under the social pillar, innovation can help deepen financial inclusion by extending affordable risk protection to informal businesses, smallholder farmers, women, young entrepreneurs and other underserved groups. Digital onboarding, flexible premium-payment arrangements, simplified policy wording and alternative distribution models may help remove barriers that have historically excluded these communities.

Under the environmental pillar, technology can support climate-risk modelling, early-warning systems, weather-index insurance and products that strengthen the resilience of farmers, businesses and communities exposed to droughts, floods and other climate-related shocks.

The governance pillar is equally important. Innovation must be supported by responsible data management, ethical use of artificial intelligence, transparent decision-making, consumer protection and effective regulatory oversight.

Innovation without sound governance can introduce

new forms of exclusion, discrimination, cyber risk and consumer harm. The Hub must therefore promote solutions that are not only faster or cheaper, but also fair, secure, transparent and appropriate for their intended users.

The role of the IPEC Regulatory Sandbox

The launch of the Insurance and Pensions Commission Regulatory Sandbox is an important complementary development within Zimbabwe's insurance innovation ecosystem.

The sandbox enables eligible innovators to test new insurance and pensions products, technologies, services and business models within a controlled and supervised regulatory environment before full market deployment. This helps address one of the central challenges facing financial-sector innovation: how to experiment with new approaches without compromising policyholder protection or requiring innovators to enter the wider market before regulatory and operational uncertainties have been resolved. Within the sandbox, IPEC can observe how an innovation performs, identify emerging risks and assess whether existing regulatory requirements adequately address the proposed model. Innovators can simultaneously gain a clearer understanding of the compliance, governance and consumer-protection standards they must meet.



IPEC Commissioner Dr Grace Muradzikwa and ICZ CEO Mr Muthe and at the official launch event of the IPEC Regulatory Sandbox.

The sandbox should not be viewed as relaxed regulation. Rather, it provides a structured mechanism for responsible experimentation under regulatory supervision.

A complementary pathway from problem to market

The ICZ Innovation Hub and the IPEC Regulatory Sandbox perform different but complementary functions.

The Innovation Hub is primarily industry-facing. It can help identify sector challenges, connect innovators with insurers, assess commercial feasibility and refine solutions against practical market requirements.

The Regulatory Sandbox is supervisory. It provides a controlled environment in which qualifying innovations can be tested against regulatory, consumer-protection and market-stability considerations.

A promising solution emerging from the Innovation Hub may therefore, subject to meeting the relevant criteria and receiving regulatory approval, become a candidate for sandbox testing. Successful testing would not automatically guarantee adoption, but it could provide valuable evidence regarding the solution's operational performance, regulatory suitability and consumer impact.

Together, the two initiatives create a potential pathway from industry problem identification, through solution development and commercial validation, to controlled regulatory testing and eventual market deployment.

Innovation for the underserved

A central objective of this emerging ecosystem is to close Zimbabwe's insurance protection gap.

The exclusion of informal traders, rural households, small-scale farmers and emerging businesses is not simply a marketing problem. It reflects deeper barriers involving affordability, irregular income, unsuitable products, documentation requirements, geographic distance, limited financial literacy and a lack of trust in formal institutions.

Technology can help address some of these challenges, but digitalisation alone does not guarantee inclusion.

A product delivered through a mobile phone remains exclusionary when its premiums are unaffordable, its wording is unclear, its claims process is difficult or it does not respond to the customer's actual risks.

The Hub must therefore promote customer-led innovation rather than technology-led experimentation. Solutions should begin with a clear understanding of the needs and lived realities of underserved communities before determining the appropriate product, distribution channel and technology.

Potential areas include embedded insurance distributed through cooperatives, farmer organisations, input suppliers and microfinance institutions; flexible premium arrangements aligned with irregular or seasonal income; parametric products responding to climate shocks; and simplified claims systems that reduce the cost of serving geographically dispersed customers.

The objective is not merely to increase policy numbers, but to ensure that insurance delivers genuine value and strengthens the resilience of households and businesses.

Creating a future-ready insurance sector

The ICZ Innovation Hub and IPEC's Regulatory Sandbox signal a positive shift towards a more coordinated approach to insurance-sector transformation.

Their success will depend on moving beyond announcements, competitions and one-off events. Clear industry problem statements, access to appropriate data, defined testing milestones, committed institutional ownership and realistic pathways to procurement or adoption will be essential.

Through the Innovation Hub, ICZ is creating a bridge between ideas and the insurance market. Through the Regulatory Sandbox, IPEC is providing a pathway for qualifying solutions to be tested responsibly.

Together, these initiatives support the development of a more innovative, inclusive and responsive insurance sector—one that uses technology not as an end in itself, but as a means of extending meaningful protection, improving customer experience and building resilience among the communities that need it most.

Building Resilience Through Protection: Zimbabwe's Short-Term Insurance Sector

Short-term insurance remains an important enabler of economic activity by protecting households, businesses and productive assets against unexpected losses. In the first half of 2026, Zimbabwe's short-term insurance sector operated in a broadly stable macroeconomic environment, characterised by low inflation, improving macroeconomic stability and sustained confidence in the domestic currency. Economic activity was supported by strong performance in mining, particularly gold and lithium, as well as a favourable 2025/26 agricultural season.

Against this backdrop, the short-term insurance sector continued to expand its market infrastructure while maintaining generally sound financial and prudential fundamentals. The number of registered entities and persons increased, insurance revenue grew, the sector's asset base strengthened, and underwriting operations remained profitable overall. At the same time, rising claims, concentration in Motor and Fire insurance, declining farming insurance revenue, and increased consumer complaints highlight areas requiring continued industry and regulatory attention.

Short-Term Insurance Sector at a Glance (Q2 2026)

Key Indicator	Q2 2026
Direct Insurers	21
Reinsurers	10
Microinsurers	16
Insurance Brokers	29
Reinsurance Brokers	29
Direct Insurers & Microinsurers' Revenue	US\$170.83 million
Sector Assets – Direct Underwriters & Reinsurers	US\$545.23 million
Average AMCR Compliance	92%
Prescribed Asset Compliance	14% direct insurers 15% for reinsurers
Foreign Currency Share of Insurance Revenue	80%



The sector recorded an average unadjusted Absolute Minimum Capital Requirement compliance rate of 92%. Eighteen (18) of the 21 direct insurers met the applicable minimum capital threshold, while all 10 reinsurers and all nine reporting microinsurers were compliant. Prescribed asset compliance also remained above the statutory minimum of 10%, averaging 14% for direct short-term insurers and 15% for reinsurers.



Growing Revenue, but Concentration Remains a Key Risk

Direct short-term insurers generated about US\$165 million in insurance revenue during the first half of 2026, an 18% increase from about US\$140 million recorded during the corresponding period in 2025. This points to continued growth in demand for short-term insurance products and the sector's capacity to generate business in an evolving economic environment.

However, business remains heavily concentrated in a few traditional insurance classes. Motor insurance accounted for 51% of direct insurers' total insurance revenue, generating US\$83 million, followed by Fire insurance at 16%, with US\$26 million. Together, Motor and Fire generated approximately 66% of total insurance revenue. The top five classes - Motor, Fire, Personal Accident, Engineering and Farming - collectively contributed about 85% of revenue.

The performance across individual classes was mixed. Miscellaneous Accident recorded the strongest year-on-year growth at 140%, while Engineering increased by 26%, Public Liability by 24%, Personal Accident by 23%, and both Motor and Fire by approximately 20%. Conversely, Farming declined by 26%, Credit by 21%, and Bonds and Guarantees by approximately 4%.

The decline in farming insurance warrants particular attention given increasing climate-related risks. There is a need for greater uptake of appropriate agricultural and index-based insurance products to strengthen the resilience of farmers against climate shocks.



Protecting The Interests of
Insurance and Pension Consumers





Sound Underwriting Despite Rising Claims

The sector maintained overall underwriting profitability during the first half of the year, despite a notable increase in claims.

Incurred claims for direct insurers increased by 58%, from about US\$45 million in June 2025 to US\$71 million in June 2026. Consequently, the claims ratio increased from 37% to 53%. This increase was, however, offset by improved operational efficiency, with the expense ratio declining significantly from 60% to 45%. The combined ratio consequently improved marginally from 99% to 98%, remaining below the 100% underwriting break-even point.

Underwriting Indicator	Direct Insurers	Reinsurers	Microinsurers
Combined Ratio	98%	98%	83%
Claims Ratio	53%	60%	32%
Expense Ratio	45%	38%	51%

The sector's overall profitability remained positive. Direct insurers recorded about US\$17 million in profit before tax, while reinsurers generated US\$9 million and microinsurers US\$1 million, bringing combined profit before tax for these underwriting segments to approximately US\$27 million.

While the industry's overall combined ratios remain below 100%, rising claims and the concentration of business in Motor and Fire underscore the importance of risk-based pricing, prudent underwriting, effective reinsurance and greater portfolio diversification.



Foreign Currency Business Remains Significant

Foreign currency-denominated business remains a defining feature of Zimbabwe's short-term insurance market. Direct short-term insurers generated about US\$133 million in foreign currency-denominated insurance revenue, representing approximately 80% of total insurance revenue and a 16% increase from about US\$115 million during the comparable period in 2025.

Motor and Fire accounted for 60% of foreign currency insurance revenue, reinforcing the concentration observed in overall sector business. While foreign currency business supports value preservation and claims settlement, its prominence also increases the importance of sound currency risk management and asset-liability matching.



Deepening Inclusion Through Microinsurance

Microinsurance remains an important component of the Commission's financial inclusion agenda. The total number of licensed dedicated microinsurance companies stood at 16 as at 30 June 2026, providing a platform for developing affordable insurance products targeted at underserved and low-income segments of the population.

Microinsurers generated about US\$6 million in insurance revenue and held assets amounting to US\$12 million. The segment recorded a combined ratio of 83%, comprising a claims ratio of 32% and an expense ratio of 51%, while profit before tax stood at US\$1 million.

The continued development of microinsurance, alongside innovation through mechanisms such as the Regulatory Sandbox, presents an opportunity for the industry to expand beyond traditional insurance classes and develop products responsive to emerging risks and underserved markets. The Commission calls upon Insurers to leverage the Regulatory Sandbox to develop innovative insurance solutions, particularly in underrepresented classes such as Farming and Micro, Small and Medium-sized Enterprises.



Consumer Protection Remains Paramount

Protecting policyholders remains central to IPEC's regulatory mandate. During the first half of 2026, the Commission received 144 complaints against the short-term insurance sector, compared with 66 during the corresponding period in 2025. Of these, 128 complaints were resolved, while 16 were carried forward for resolution in the third quarter.

Delays in claims settlement accounted for the largest proportion of complaints, with 117 cases, highlighting the need for insurers to continue strengthening claims management processes, customer service and adherence to regulatory requirements.

For IPEC, the focus remains on ensuring that growth in the sector translates into tangible value for policyholders through fair treatment, timely settlement of valid claims, transparent products and sustainable insurance solutions.



Looking Ahead: Diversification, Innovation and Resilience

The performance of the short-term insurance sector during the first half of 2026 points to a sector with a strong foundation for further growth. Revenue increased, the asset base strengthened, underwriting remained profitable, and the distribution network continued to expand.

The next phase of growth, however, requires the industry to look beyond its traditional reliance on Motor and Fire insurance. Greater product innovation and diversification will be necessary to respond to emerging risks associated with climate change, agriculture, infrastructure development, new technologies and evolving consumer needs.

IPEC will continue to promote a regulatory environment that balances innovation and financial inclusion with prudential soundness and consumer protection. Particular attention will remain on risk-based pricing and underwriting, capital adequacy, foreign currency risk management, portfolio diversification, climate and catastrophe risk management, IFRS 17 reporting and the fair treatment of policyholders.

A resilient, innovative and inclusive short-term insurance industry is not only essential for protecting policyholders, but also an important foundation for investment, business continuity and sustainable economic development in Zimbabwe.



160 Rhodesville Avenue, Greendale, Harare
Tel: (242) 443358/443361/443322
Cell: 0772 154 281-4 WhatsApp: 0772 154 281
Email: enquiry@ipec.co.zw

Website: www.ipec.co.zw

9. From disclosure to resilience: advancing credible sustainability reporting in Zimbabwe's insurance sector

BY RUFARO ESTHER CHITANDO

Sustainability reporting is no longer a peripheral corporate responsibility exercise. It is becoming a strategic tool for managing risk, attracting investment, strengthening governance and building long-term resilience. For Zimbabwe's insurance industry, the shift towards transparent, credible and decision-useful sustainability disclosures comes at a particularly important time as climate-related risks, regulatory expectations and stakeholder demands continue to evolve.

The conversation has moved beyond whether organisations should report on environmental, social and governance (ESG) matters. The more important question is whether sustainability disclosures are sufficiently robust to influence underwriting decisions, capital allocation, enterprise risk management and board oversight. For insurers operating in Zimbabwe, sustainability reporting is increasingly becoming part of prudent financial management.

Zimbabwe's regulatory landscape is evolving

Zimbabwe has entered a new phase in sustainability reporting. The Zimbabwe Stock Exchange (ZSE), through Practice Note 16, has strengthened sustainability disclosure requirements for listed issuers, encouraging alignment with internationally recognised frameworks, including the International Sustainability Standards Board (ISSB) standards. This development signals a broader shift towards more consistent, comparable and decision-useful sustainability reporting across Zimbabwe's capital markets.

For the insurance sector, these developments are particularly significant. The Insurance and Pensions Commission (IPEC) has consistently emphasised sound governance, enterprise risk management and financial resilience across the industry. Sustainability reporting complements these objectives by encouraging insurers to identify emerging risks, strengthen governance structures and improve the quality of information available to boards, regulators and investors.



Rufaro Esther Chitando

IFRS S1 and S2: from narrative reporting to financial relevance

The introduction of IFRS S1 (General Requirements for Disclosure of Sustainability-related Financial Information) and IFRS S2 (Climate-related Disclosures) marks a fundamental shift in corporate reporting. These standards move sustainability reporting beyond broad ESG narratives and require organisations to disclose sustainability-related risks and opportunities that could reasonably affect enterprise value.

For insurers, this is especially relevant because climate risk directly affects claims experience, underwriting performance, investment portfolios, reinsurance costs and long-term capital adequacy. Sustainability reporting therefore becomes an extension of risk management rather than a standalone compliance exercise.

The standards require disclosures across four interconnected pillars: governance, strategy, risk management, and metrics and targets. The objective is not to produce longer reports, but to provide information that enables shareholders, policyholders, regulators and other stakeholders to understand how sustainability issues may affect an organisation's future prospects.

Climate risk is now an insurance and financial risk



Zimbabwe's economy remains highly exposed to climate variability. Droughts, floods, cyclones, water stress and changing rainfall patterns affect agriculture, property, infrastructure and commercial activity. These impacts ultimately influence insurance claims, underwriting assumptions and investment performance.

IFRS S2 encourages organisations to identify, assess

and disclose both physical and transition climate risks. For insurers, this means systematically assessing geographic exposure to extreme weather events, evaluating changing claims patterns, incorporating climate scenarios into risk assessments and understanding how regulatory, technological and market changes may affect insured assets.

Insurers that develop these capabilities will be better positioned to price risk appropriately, strengthen resilience and support economic adaptation.

Lessons from Zimbabwe's financial sector

A useful example can be drawn from CBZ Holdings, one of Zimbabwe's largest diversified financial services groups with operations spanning banking, insurance and investments. As a listed financial institution, CBZ has increasingly integrated sustainability considerations into its governance, risk management and reporting processes.

The significance of this example lies not in sustainability reporting itself, but in the integration of sustainability considerations into enterprise-wide decision-making. For a financial services group, sustainability reporting can inform credit risk assessment, insurance underwriting, agricultural finance, investment portfolio management and operational resilience.

This demonstrates an important lesson for insurers: sustainability reporting should not be treated as a separate ESG function. It should support better risk pricing, stronger governance and more resilient financial performance.

Data quality: the credibility challenge

One of the greatest obstacles facing sustainability reporting in developing markets is data quality. Many organisations can describe sustainability initiatives, but far fewer can produce reliable, consistent and verifiable data on greenhouse gas emissions, energy consumption, water use, workforce diversity or climate-related financial exposure.

Weak data undermines confidence. It makes year-on-year comparisons difficult, complicates external

assurance and limits the usefulness of sustainability information for investors and boards.

The solution is stronger governance. Organisations need clear ownership of sustainability data, documented methodologies, internal controls and review processes comparable to those applied to financial reporting. Sustainability information should be subject to the same discipline as financial information, including accountability, documentation and auditability.

Avoiding greenwashing through transparency

As sustainability reporting becomes more prominent, the risk of greenwashing also increases. Generic statements about environmental commitment or social impact are no longer sufficient. Investors, regulators and policyholders increasingly expect evidence-based disclosures that explain both progress and ongoing challenges.

The most credible sustainability reports are balanced. They disclose material risks, explain assumptions, describe governance processes and provide measurable indicators. A useful test is whether a disclosure would still be meaningful if the branding and photographs were removed. If the answer is no, the report may be communicating image rather than insight.

Transparency about data limitations, estimation uncertainty and implementation challenges often strengthens credibility rather than weakening it.

The board's role in sustainability oversight

Perhaps the most significant implication of IFRS S1 and S2 is that sustainability reporting becomes a governance issue. Boards are expected to oversee sustainability-related risks and opportunities, monitor management's response and ensure that sustainability disclosures are integrated with strategy, enterprise risk management and financial reporting.

For insurance companies, this means climate risk should increasingly sit alongside underwriting, investment and operational risk within existing governance structures.

Sustainability reporting cannot be delegated solely to communications or corporate affairs departments; it requires active involvement from finance, risk, operations, legal and executive leadership.

A practical agenda for Zimbabwe's insurance industry
The insurance sector does not need to achieve perfect sustainability reporting immediately. A phased and pragmatic approach is more realistic.

Priority actions include conducting materiality assessments, strengthening ESG governance structures, improving climate-risk identification processes, investing in sustainability data systems, aligning disclosures progressively with IFRS S1 and IFRS S2, and enhancing board and executive capability.

Importantly, insurers can leverage existing risk management frameworks rather than creating entirely separate sustainability systems. This approach is particularly relevant in resource-constrained environments, where reporting efforts should focus on the issues most material to enterprise value and organisational resilience.

Conclusion

Sustainability reporting is ultimately about trust, resilience and better decision-making. For Zimbabwe's insurance industry, credible sustainability disclosures can improve underwriting, strengthen capital allocation, enhance regulatory confidence and support national resilience to climate-related risks.

The organisations that invest in reliable data, strong governance and transparent reporting will be better positioned to navigate an increasingly uncertain risk environment. The real opportunity for Zimbabwe is not simply to comply with global sustainability standards, but to use them to build a more resilient, trusted and future-ready insurance industry.

In a world where climate and sustainability risks are increasingly financial risks, credible reporting is no longer just about explaining performance. It is about strengthening resilience and shaping a more sustainable future for the insurance sector and the broader economy.

Meet the AIRDC Leadership

Board of Trustees and Secretariat

The Association of Insurers and Reinsurers of Developing Countries (AIRDC) is guided by a Board of Trustees drawn from insurance and reinsurance leaders across Africa and Asia. As delegates gather in Harare for the **24th AIRDC Annual Conference (27–30 September 2026)**, we profile the people who steer the Association's mission of strengthening insurance markets in developing countries — among them Zimbabwe's own **Patrick Kusikwenyu**, AIRDC Vice President.



PRESIDENT

Chai Sophonpanich

Chairman, Bangkok Insurance Public Company Ltd

THAILAND



VICE PRESIDENT

Patrick Kusikwenyu

Managing Director, Sanctuary Insurance Company

ZIMBABWE



SECRETARY GENERAL & CORPORATE SECRETARY

Januario C. Aliwalas

Former Executive Director, Insurance Institute for Asia and the Pacific

PHILIPPINES

TRUSTEES



TREASURER & TRUSTEE

Esther C. Tan

Chairwoman and Director, Mercantile Insurance Corporation

PHILIPPINES



IMMEDIATE PAST PRESIDENT & TRUSTEE

Dr. Aaron Issa Anafure

Chief Executive Officer, Quality Life Assurance Company Ltd

GHANA



PAST PRESIDENT & TRUSTEE

Yassir Albaharna

Group CEO, Trust International Insurance and Reinsurance Company

BAHRAIN



PAST PRESIDENT & TRUSTEE

Dr. Jagath Alwis

Executive Chairman, Ceylinco General Insurance Ltd

SRI LANKA



TRUSTEE

Wilson Ndesanjo

Chairman, Tanzania National Reinsurance Corporation

TANZANIA



TRUSTEE

Chunky Chhetry

Chief Executive Officer, Sagarmatha Lumbini Insurance Company Ltd

NEPAL



TRUSTEE

Shri Hitesh Joshi

Chairman-cum-Managing Director, General Insurance Corporation of India

INDIA

AIRDC Secretariat: 26F, BPI-Philam Life Building, 6811 Ayala Avenue, Makati City, Philippines
airdc@iiaap.com.ph | +632 8 887-7446 | www.airdevc.org

10. Building Resilient Insurance Markets:

AIRDC's Mission and the Road to Harare 2026

Editor's Interview

Kundai Jonga (KJ)
in Conversation with
Januario C. Aliwalas (JCA),
Secretary General, AIRDC

As the global insurance industry navigates an increasingly complex operating environment shaped by geopolitical uncertainty, rapid technological change and evolving risk exposures, the ability of developing insurance markets to collaborate, innovate and build resilience has never been more important.

Against this backdrop, Zimbabwe prepares to host the 24th AIRDC Annual Conference in Harare, bringing together insurance and reinsurance leaders from Africa, Asia and other developing markets. The conference is particularly significant for Zimbabwe, whose insurance industry has maintained a longstanding relationship with the Association of Insurers and Reinsurers of Developing Countries (AIRDC) since the organisation's establishment in 1980. With more than 100 AIRDC members across four continents — and approximately 40% of its membership drawn from Africa — Harare 2026 presents a valuable opportunity for international knowledge exchange, partnership building and practical discussion around the future of insurance in emerging markets.

In this edition of The Smart Insurer Digest, Editor Kundai Jonga speaks with Januario C. Aliwalas, Secretary General of AIRDC, about the organisation's mission, the changing risk landscape confronting insurers in developing economies, and the growing importance of technology, capacity building and international cooperation. Their conversation also explores what delegates can expect from Harare 2026, the opportunities the conference presents for Zimbabwean and regional market participants, and AIRDC's ambitions beyond the conference — including expanded training and regional learning initiatives from 2027.



Januario C. Aliwalas

“

Our guiding principle is to develop and expand international collaboration and cooperation in the fields of insurance and reinsurance of every type”

1.

For readers who may be encountering AIRDC for the first time, could you briefly explain the organisation's mandate and the role it plays in advancing insurance and reinsurance markets across developing countries?

Answer - The Association's guiding principle is to develop and expand international collaboration and cooperation in the fields of insurance and reinsurance of every type. It also has as its objective to strengthen the insurance market in developing countries and to foster inter-regional cooperation within the insurance industry.

What are some of the distinctive challenges

KJ

currently confronting insurers and reinsurers in developing markets, and why is international cooperation through platforms such as AIRDC increasingly important?

JCA - In the current VUCA world where disruptions are happening all over the world, it is important for insurers and reinsurers in developing countries to share experiences and technologies that were found to be useful. It is also imperative for all insurance companies in emerging countries to learn new developments such as AI and train core employees in all aspects of management and insurance. Such training may not be readily available to all members and even if they are available, most often than not, the cost of such training is not affordable. This is where AIRDC play a major role. It develops training programs that are relevant and offers such seminars to its members on an online basis making them affordable.

KJ

How do you see emerging technologies — insurtech, AI, digital distribution— reshaping insurance markets in developing economies, and how is AIRDC helping members prepare?

JCA- Emerging technologies are changing the way insurance as a business is being conducted in almost all areas- selling, marketing, operations, underwriting and even claims. AIRDC, through its contacts and resources, is able to organize learning sessions where experts, who are current insurance practitioners and who have had experience in deploying such solutions, are able to share what worked well and what did not. AIRDC also holds conferences where the members can learn lessons shared by select speakers from all over the world.

4.

The 24th AIRDC Annual Conference will be hosted in Harare, Zimbabwe. What is the significance of bringing the conference to Zimbabwe, and what influenced the selection of the country as the 2026 host?

JCA- AIRDC has over 100 members in four continents. About 40 per cent of these members are from AFRICA and a significant number in Zimbabwe. AIRDC rotates the hosting of the conference between Asia and Africa. In 2024, Thailand was the host. Zimbabwe's influence in AIRDC's activities and events has been significant since the association was launched in 1980. AIRDC therefore is looking forward to a successful event in Harare.

KJ

This year's conference focuses on strengthening insurance resilience amid geopolitical and technological disruptions. What does resilience mean in practical terms for insurance markets in developing countries?

JCA- The current geopolitical disruptions have affected all countries but more so, the developing countries whose resources are limited. Being resilient, therefore is a major concern and a challenge. The developed countries can withstand the shocks which a developing country may not easily do. There is need therefore to harness the collective efforts of the members of AIRDC and look for synergies that can protect them from the shock.

KJ

The conference theme speaks of "geopolitical and technological disruptions." From your vantage point as Secretary General, which of these disruptions pose the greatest risk and the greatest opportunity for insurers in developing countries?

JCA- The greatest risk is the increasing cost of fuel since it limits the budget of insureds and among the many budgetary items, insurance premiums are the first to go. The greatest challenge is for insurers to innovate and be creative in using technology to reduce the cost of services by deploying less expensive means of marketing, servicing and policy design.

KJ

What key discussions, learning opportunities and outcomes can delegates expect from the Harare conference, particularly those attending an AIRDC conference for the first time?

JCA- Those attending an AIRDC conference for the first time are lucky in the sense that the topics in this conference are probably the widest and most relevant concerns and issues compared to the previous conferences. Never has the insurance industry experienced so many issues which are very disruptive.

KJ

What opportunities will the conference create for Zimbabwean and regional insurers, reinsurers, regulators and service providers to establish partnerships and exchange practical knowledge with their international counterparts?

JCA- Even with the current geopolitical events, it is expected that participants from other countries would attend in the same number as they did in the past AIRDC conferences. This shall ensure that every delegate from Zimbabwe shall have a change to share ideas with their counterparts in other regions in Africa and Asia. AIRDC has members also in Tanzania, Ghana, Seychelles among others. These countries are expected to send representatives with whom Zimbabweans can confer with. Conference registrants from Bahrain, Sri Lanka, Thailand, Philippines, Bhutan, Maldives, Nepal, and several other countries are also expected to attend.

KJ

Beyond the 2026 conference, what are AIRDC's main priorities for strengthening the capacity, competitiveness and sustainability of insurance markets in developing countries?

JCA- AIRDC, while maintaining its purpose and core strategies, shall be embarking on adding relevant services to members that other associations are not offering. Regular training offerings (as often as twice a month) will be launched in 2027. AIRDC also plans to hold in-person regional learning sessions in different locations to augment its online training programs.

KJ

What message would you like to share with insurance professionals, policymakers, innovators and other stakeholders considering attending the conference in Harare?

JCA- The time is right to attend an international conference such as the one happening in Harare given the challenges insurers are facing. No other time in the recent years, that challenges are happening in large numbers and in dangerous complexity.



11. Beyond Compliance:

Integrating ESG into Zimbabwe's Insurance Underwriting

Environmental, Social and Governance (ESG) factors are becoming very relevant across the financial sector. For insurance companies, ESG is not only about meeting regulatory or reporting expectations. It can also provide useful information for understanding risks that may affect an insured business, asset, or activity over the time.

Insurance underwriting is fundamentally about assessing the risk. As risks become more complex, traditional financial and historical information may not always provide a complete picture. ESG factors can offer additional insight into the quality and sustainability of the risk being considered.



Ephraim Chawoneka PROFILE

Ephraim Chawoneka is a seasoned Business Executive with over 20 years in the Financial and Structured Finance field. He holds two master's Degrees - MSc Leadership and Change Management (Leeds Metropolitan University - United Kingdom) and MSc Agricultural Economics (University of Zimbabwe). He is a registered Estate Administrator and Insolvency Practitioner and qualified as an Insolvency and Business Rescue Practitioner with SARIPA (South African Restructuring and Insolvency Practitioners Association). He has sat on the boards of Financial Institutions, Stock Exchange Listed entities and private corporates. He is the current Chief Executive of International Credit Rating Agency (ICRA Zimbabwe) and Principal Managing Partner for STF Capital. He is the current (Mashonaland) Vice President of the Zimbabwe National Chamber of Commerce.

Understanding ESG in Insurance

ESG covers three broad areas.

- Environmental factors related to issues like climate exposure, environmental damage, resource, resource use, pollution, and the potential impact of extreme weather events.
- Social factors include safety of the employee, labour practices, customer treatment, community relationships, and supply-chain practices.
- Governance factors cover areas like oversight, internal controls, business ethics. Risk management system, transparency, and compliance.

For insurers, these factors can affect the potential of certain risks. Their importance may vary which may depend on the industry, location, type of policy, and nature of the insured activity.

ESG as part of Risk Assessment

Underwriting decisions traditionally consider factors like financial condition, claims history, operational risks, assets, and business activities. ESG information can complement these factors.

Let's understand it with an example, let's suppose a company who is operating in an area which is exposed to environmental risk can face higher possibility of property or damage interruption. Similarly, weak workplace safety practices could increase the likelihood of accidents and claims related to that.

Governance weakness can also create risks. Poor internal controls, inadequate oversight, or weak compliance practices may increase the possibility of operational failures, fraud, legal disputes, or reputational damage.

Moving Beyond a Compliance Approach

ESG can sometimes be viewed mainly as a reporting or compliance requirement. However, its value can extend beyond disclosure.

When ESG information is integrated into underwriting, it can become part of the insurer's broader risk-management process. Instead of simply collecting ESG information, insurers can use it to identify potential areas of exposure and understand how businesses manage those risks.



The Importance of Reliable Information

The usefulness of ESG underwriting depends on the quality of the information available.

Incomplete, inconsistent, or unaudited ESG information can make comparisons very difficult for the businesses. Businesses also measure ESG in a different way, making it challenging for insurers to assess risks consistently.

Clear reporting practices and reliable data can improve the usefulness of ESG information.

Insurers may consider a combination of internal records, regulatory information, operational data, independent assessments, and other related sources while evaluating ESG related risk.

ESG and Long-Term Risk

One of the main key advantages of ESG integration is that it focuses on the risks that can develop over time.

Insurance policies can expose insurers to risks that are not always immediately visible. Climate-related events, changing regulations, supply-chain disruptions, workplace issues, and governance failures can have financial consequences over an extended period.

Considering ESG factors can help insurers identify these potential risks at an early stage and integrate them into their overall underwriting and risk management processes.

This does not mean that ESG factors should replace traditional underwriting criteria. Instead of that, they can complement financial, operational, and historical information.

Building a More Resilient Insurance Sector

A strong approach to ESG can benefit both insurers and policyholders.

For insurers, better understanding of ESG-related risks can support more informed underwriting and



risk selection. For businesses, greater attention to ESG can encourage improvements in areas like governance, safety, environmental management, and operational resilience.

Over time, this can contribute to a more risk-aware insurance market.

The approach should remain practical. ESG factors should be relevant to the specific risk that is being assessed instead of treating it as a one-size-fits-all requirement. Different sectors will face different environmental, social, and governance risks.

Conclusion

ESG is moving beyond compliance and is becoming part of risk assessment. For insurance underwriting, it can provide additional insight into risk that traditional

financial and historical information may not fully capture.

As Zimbabwe's insurance and financial markets are developing at a fast pace, reliable assessment of business risk will remain very important. ICRA Zimbabwe can contribute to this risk-awareness environment by providing independent credit assessments that consider financial strength, business risks, governance, industry conditions, and other factors relevant to creditworthiness.

Integrating ESG thoughtfully into risk assessment can help in supporting better informed decisions and contribute to a more strong financial and insurance ecosystem in Zimbabwe.



ICRA Recognised Within Zimbabwe's Reinsurance Risk-Assessment Framework

Independent credit assessment. Greater confidence. Stronger markets.

IPEC

MINIMUM STANDARDS FOR REINSURANCE

REGULATORY RECOGNITION

Rating agency:	International Credit Rating Agency (ICRA)
Minimum required rating level:	BBB
Application:	African reinsurers
Effective date:	1 January 2026

What Does This Mean For the Reinsurance Sector?



Stronger Counterparty Security

Annual accreditation and minimum rating requirements support the selection of financially sound, creditworthy offshore reinsurance partners.



Greater Claims Confidence

Clearer due diligence helps reduce exposure to unrated counterparties, poor claims settlement and adverse policyholder outcomes.



Accountable Risk Placement

The first-layer lead reinsurer is accountable for placement structure, security, pricing, claims oversight and performance.



Smarter Risk Transfer

Proportionate treatment of specialty risks and retrocession supports effective capacity, capital management and sustainable risk transfer.

Stronger reinsurance. A more resilient insurance market.

Supporting informed decisions through independent credit ratings and credit intelligence.



ICRA Zimbabwe

Unit 9, 75 Roberts Drive,
Msasa, Harare



+263 485079



www.icratingzw.com

Association of Insurers and Reinsurers of Developing Countries (AIRDC)

24th Annual Conference

Theme:

**"Strengthening Insurance Resilience for Developing Countries
Amid Geopolitical and Technological Disruptions"**



Conference Organiser



Rainbow Towers Hotel, Harare, Zimbabwe



To register visit www.airdczim.co.zw



27-30 September 2026